

HOUSING LOAN UNDERWRITING POLICY

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Purpose: Research Prototype Evaluation

IMPORTANT NOTICE:

This is synthetic demonstration content for an academic RAG and Agentic AI prototype. It is NOT an actual banking policy.

1. Purpose

This policy provides demonstration criteria for evaluating housing loan applications.

2. Income Stability

Housing loan applications should consider the stability and adequacy of the applicant's income.

Longer employment duration may provide supporting evidence of income stability.

Applicants with unstable or insufficient income should receive additional assessment.

3. Repayment Capacity

The requested housing loan amount should be assessed relative to:

- Monthly income.
- Existing monthly loan repayments.
- Employment stability.
- Other available financial information.

High existing repayment obligations may reduce available repayment capacity.

4. Collateral

Housing loans generally involve consideration of property security.

Where collateral is required, the availability and adequacy of the relevant security documentation should be verified.

An application without required collateral information should be referred for manual review.

5. Documentation

Complete documentation should be available before a final positive recommendation is made.

Missing documentation may prevent policy compliance from being confirmed.

6. Existing Loan Commitments

Existing loans should be considered when evaluating the applicant's overall debt burden.

An applicant with significant existing obligations may require additional assessment.

7. Statistical Model Limitation

The machine learning model provides an empirical prediction based on historical data.

A high model probability does not independently establish housing-loan eligibility.

8. Manual Review

Manual review should be considered when:

- Required collateral information is missing.
- Required documentation is incomplete.
- Repayment capacity is unclear.
- Policy evidence conflicts with the model prediction.